Pricing a Healthcare Athena

Fair Value, PRIIPs, and the Launch Decision

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Teaching case. Banque Meridian, its personnel, and the proposed note terms are fictional. The product type and market setting are drawn from standard EU retail structured-product practice.

1. Setting

You are a **junior structurer** on the Retail Structured Products desk at **Banque Meridian**, a pan-European bank with a growing franchise in thematic notes for advised retail and private-banking clients. You joined the desk two years ago after a quantitative finance master's degree and a six-month rotation on the rates exotics floor. Until now you have supported senior colleagues on autocallables and reverse convertibles — building payoff grids, checking KID numbers, and sitting in on distributor calls — but you have never **owned** a retail launch from term-sheet draft through pricing-committee sign-off. That changes today.

The desk sits in **Paris**, a short walk from the wealth-management floors that feed French and cross-border distribution. Final **pricing committee** approval for retail issuance, however, is convened in **Luxembourg**, where the bank's structured-products platform books most EU retail notes. On issue days you work both locations remotely until the committee meets: Paris for distributor dialogue, Luxembourg for governance and sign-off.

Banque Meridian distributes through branch networks and external platforms in **France**, **Italy**, and **Luxembourg**. Retail structured products remain a meaningful fee pool for the bank, but the regulatory environment has tightened. **MiFID II** product-governance rules require a documented target market, and every retail note must ship with a **PRIIPs Key Information Document** (KID) whose prescribed scenarios can read very differently from the headline coupon on a term sheet. Compliance sits one floor above you; they are helpful, but they will not sign a KID that your fair-value work cannot support.

The desk and the pipeline

Your team of eight structurers covers equity-linked and credit-linked retail notes, typically **Athena** autocallables and soft-barrier income products on single indices or thematic baskets. Distributors want **simple stories**: a sector recovery, a familiar index, a conditional coupon that sounds generous next to deposit rates. They want **fast** turnaround when a theme is in the press. The head of Structured Products (Retail) sets a **minimum gross structuring margin** of **1.5%** of nominal on new issues — enough to cover distribution rebates, hedging slippage, and the occasional gap between internal model and street quote. Issues are almost always quoted to clients at **100%** of the €1,000 minimum denomination; economics live in the spread between fair value and that issue price.

Since late summer, **healthcare** has moved to the front of the thematic pipeline. Two August articles — an English-language adviser piece and a French retail-investor study — argued that pharmaceutical and healthcare equities had lagged fundamentals and were beginning to re-rate (see Exhibits B1 and B2). French private bankers forwarded the Les Echos excerpt to your desk within days. Italian distributors were less focused on French press coverage and more anxious about **competition**: rival banks were already marketing healthcare-linked certificates into their networks. Your head of desk treated the theme as a year-end priority — a product that could close before calendars shut and keep Meridian visible with key distributors.

Your role today

Over the past week you have assembled the working pack for a five-year **healthcare Athena** on the **Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5%** index: proposed terms (Exhibit A), market data as of the **27 November** trade date (Exhibit D), draft KID excerpts, and a competitor scan still being finalised (Exhibit E). The trade was fixed on Wednesday; issue and settlement are **today**, 1 December 2026. The Luxembourg pricing committee meets at 10:00.

You are expected to confirm that the proposed **6%** conditional coupon and **60%** barrier structure can be issued at **100%** with at least the desk's **1.5%** margin — or to explain why the terms must change before Banque Meridian commits its balance sheet and reputation to the distributors waiting in Paris and Milan. The formal request arrived on **Friday 28 November**, the evening after initial fixing.

2. The ask

On Friday evening, your head of desk sent the email below and attached an internal launch memo. You spent the weekend finalising fair-value work and chasing the competitor scan. The email is reproduced as received; the memo follows.

From: Marie-Cécile Fontaine, Head of Structured Products (Retail)
To: Retail Structuring — Junior Desk
Date: Friday, 28 November 2026, 18:42
Subject: RE: Healthcare Athena — **need pricing pack for Monday committee**

Team,

Initial fixing went through at 2318.47 on the iSTOXX healthcare decrement index — Dana posted the market-data pack. Good.

France: Réseau Patrimoine (our main private-banking feed) wants a healthcare income note **before year-end**. They are still forwarding the Les Echos piece from August and asking for a 6%-style coupon story for advised clients. We promised a draft term sheet this week.

Italy: Banca Lombarda's structured-products desk is less interested in the sector pitch and more interested in **why Intesa already has something out**. I need the **competitor one-pager** on my desk Monday AM — even a single slide. If we cannot match or beat the headline, they will route flow elsewhere in Q1.

Attached is the launch memo for the Luxembourg pricing committee on **Monday 1 December, 10:00**. You own the pack — this is your first full retail sign-off, so I will review your numbers Sunday night, but **you** present fair value and the launch recommendation.

Target remains **100% issue** and ≥ **1.5%** gross margin. If you cannot get there, come with revised terms — do not ask the committee to approve a loss leader.

— MCF

Internal launch memo

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Reference	BM-SP/2026/HC-ATH-047
Date	28 November 2026
Issue date	1 December 2026 (trade fixed 27 November 2026)
Owner	Junior structurer, Retail SP desk (Paris)

Committee	Luxembourg pricing committee — 1 Dec 2026, 10:00 CET

Background

Banque Meridian has marketed thematic equity-linked notes to retail and private-banking networks in France, Italy, and Luxembourg throughout 2026. Healthcare equities recovered materially in the second half of the year following policy clarity in the US and renewed M&A activity in European pharmaceuticals. Press coverage in August — the **FT Adviser** recovery piece and the **Les Echos Investir** sector study, bundled as the desk's press dossier — revived distributor demand for a **healthcare income** product linked to a recognised EU index.

French distributors require a printable product profile before their December client events. Italian distributors have indicated that a competitor certificate on the same broad index family is already in their pipeline (the competitor scan is still in draft).

Proposed transaction

Product	Healthcare Athena Autocallable Notes due 1 December 2031
Underlying	Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5% (EUR)
Structure	6% p.a. conditional coupon · 60% coupon/capital barrier · annual autocall at 100%
Issue price	100% of €1,000 denomination
Target notional	EUR 50 million
Distribution	France (lead), Italy, Luxembourg
Terms	Attached summary term sheet — HC-ATH-047-TS

Issuer: **European Investment Bank SA** (Luxembourg) — existing programme issuer for Meridian retail notes. KID draft attached (pending your fair-value run).

Commercial objectives

1. Secure **Réseau Patrimoine** pipeline for Q4 and early Q1 thematic slots.
2. Retain **Banca Lombarda** as a healthcare flow partner against Intesa-led competition.
3. Maintain Meridian's visible presence in EU retail structured products before the holiday slowdown.

Sales has pre-marketed a **"6% healthcare income"** headline to both networks. Any revision must be explainable to advisers without undermining credibility.

Pricing and governance requirements

The pricing committee will not approve issuance unless the desk confirms:

1. Monte Carlo (or equivalent) **fair value** at the **27 November market snapshot** (attached market-data pack), with documented volatility assumptions.
2. **Gross structuring margin ≥ 1.5%** of nominal at the proposed **100%** issue price, **or** a revised term sheet that meets the margin floor.
3. Consistency between internal fair value, proposed marketing language, and the **PRIIPs KID moderate scenario**.
4. Target-market and suitability assessment under MiFID II product-governance rules.

If proposed terms are uneconomic, the owner must present **revised** coupon, barrier, autocall, or issue-price parameters and a clear **launch / revise / reject** recommendation.

Materials for committee

Document	Description	Status
Term sheet	Healthcare Athena — final terms (HC-ATH-047-TS)	Final draft
Press dossier	FT Adviser + Les Echos excerpts (August)	Final
KID draft	PRIIPs key information document	Draft — pending your FV
Market-data pack	Index level, curve, vol inputs — 27 Nov fixing	Final
Competitor scan	Intesa / Italian market comparison	Due Monday AM
Pricing workbook	Monte Carlo fair value and sensitivities	Owner to complete

Sign-off requested

Role	Name	Action
Head of SP (Retail)	M.-C. Fontaine	Review Sunday PM
Junior structurer (owner)	You	Present FV + recommendation, 1 Dec
Compliance	PRIIPs / target market	KID sign-off if launch
Pricing committee	Luxembourg	Approve / reject / revise terms

End of memo. The documents listed above are reproduced in this case as Exhibits A–E. Market context and product mechanics follow in Sections 3–4.

3. Market context

The healthcare theme entering your committee pack is not a blank-sheet trade idea. It is already circulating in distributor conversations, shaped by two August 2026 press articles that advisers now treat as shorthand for the sector story (Exhibits B1 and B2). Both pieces argue that healthcare valuations had become disconnected from fundamentals, then began to recover as political pressure eased and acquisition activity resumed.

For your French network, the messaging is mostly valuation-driven: healthcare had lagged, discounts widened, and a mean-reversion narrative became sellable again once policy risk looked less acute. The **FT Adviser** article highlights that framing directly:

> “Pharmaceuticals trade at one of the largest discounts to the broader market on record … a mean-reverting thing. These discounts don’t last forever.”

The French-facing conversation is reinforced by **Les Echos Investir**, which links improved visibility to renewed M&A by large pharmaceutical groups:

> “Après ce regain de visibilité, les big pharmas se sont senties beaucoup plus à l’aise pour délier leur bourse … On a assisté à un retour en force des fusions-acquisitions.”

For Italian distributors, the trigger is different: competitor activity and headline economics on comparable certificates, not French media coverage itself.

Internally, the desk reads both articles as **commercial support** rather than valuation evidence for the note itself. They can justify why clients are willing to discuss healthcare exposure at year-end, but they do not determine whether the proposed Athena terms are economically sound at 100% issue with a 1.5% margin target.

This distinction matters for the committee: the same press narrative that strengthens the sales pitch can coexist with a product configuration that is too expensive for the issuer once market data, barriers, and coupon mechanics are priced consistently.

Exhibits B1 and B2 are included as abridged source extracts. Product mechanics and market inputs follow in Section 4 and Exhibit D.

4. Product brief

The proposed instrument is a five-year **Athena autocallable** on the Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5% index (EUR). In client language, it offers conditional quarterly income with potential early redemption if the index is at or above its initial level on annual autocall dates. In desk language, it is a path-dependent structure whose economics are driven by three linked features: the quarterly coupon condition, annual autocall condition, and soft capital barrier at maturity.

For this transaction, headline terms are:

- issue at 100% of €1,000 denomination;
- 1.50% quarterly coupon (6.00% p.a.) if index >= 60% of initial level on each coupon date;
- annual autocall if index >= 100% of initial level (2027 to 2030 dates);
- at final valuation (1 Dec 2031), return 100% if index >= 60%; otherwise redeem pro rata to final index performance.

Full legal wording and date schedule are in **Exhibit A**.

How the payoff works

The table below is the desk's simplified decision map for committee discussion (not legal terms). It focuses on **what decision is taken at each observation date**.

Date type	Condition on index	Cash-flow consequence
Quarterly coupon date	Index >= 60% of initial	Pay 1.50% coupon for that quarter
Quarterly coupon date	Index < 60% of initial	No coupon (non-memory; not recovered later)
Annual autocall date	Index >= 100% of initial	Redeem at 100% + coupon due; note terminates
Annual autocall date	Index < 100% of initial	No autocall; continue to next observation date
Final valuation (if not autocalled)	Index >= 60% of initial	Redeem 100% (+ final coupon if coupon condition met)
Final valuation (if not autocalled)	Index < 60% of initial	Redeem 100% × (Final / Initial) (+ final coupon only if >= 60%)

Why this structure is commercially attractive

For distributors, the package is easy to present: a thematic healthcare story, a visible coupon number, and partial downside protection versus direct equity exposure. It also matches a familiar retail template in France and Italy where annual autocall mechanics are well understood by adviser networks.

For the issuer, attractiveness depends on **priceability**, not marketing language alone. The same terms that improve client appeal (high coupon, low coupon barrier) can compress margin when priced against the 27 November market snapshot. That tension is the center of your committee decision.

Risks and suitability points flagged before committee

- **Complexity risk:** multiple observation dates and conditional cash flows can be misunderstood by end clients.
- **Barrier risk:** below 60% at final valuation, capital loss is linear with index decline.
- **Autocall / reinvestment risk:** early redemption occurs in stronger markets, forcing clients to reinvest when comparable yields may be lower.

- **Issuer credit risk:** notes are unsecured obligations of the issuer.
- **Scenario communication risk:** PRIIPs moderate scenario may not align with the sales headline unless assumptions are explained clearly.

A full payoff diagram is intentionally not provided here. Students are expected to construct a payoff tree or chart from Exhibit A as part of the assignment; an optional instructor diagram can be added later as Exhibit F.

5. Data and constraints

You arrive at committee with a deliberately **mixed** pack: some inputs are frozen, others remain judgement calls. The desk rule is that pricing must be reproducible from the documents on the table — not from live market feeds or post-fixing index prints.

Locked inputs

The following are fixed for this decision:

Item	Source / value
Trade date / initial fixing	27 November 2026 · S_0 = 2,318.47 — Exhibit D
Issue date	1 December 2026 (today)
Proposed structure	6% p.a. conditional · 60% barrier · annual autocall at 100% — Exhibit A
Issue price	100% of €1,000 denomination
EUR discount curve	Observation-date OIS discount factors — Exhibit D
Index decrement	5% p.a. continuous (q); already embedded in published index level
Margin floor	1.5% gross structuring margin to bank

Repricing on "today's" spot or swap levels is out of scope. The committee is judging whether **these** terms are economic at **this** snapshot.

Judgement calls (documented)

Two areas require explicit assumptions in your presentation:

1. **Volatility.** No listed options exist on the decrement index. Exhibit D gives a desk working range of **16–18%** flat Black vol and sector context; you must choose one level, justify it, and show sensitivity (at minimum ±2 vol points).
2. **Discounting convention.** Base case is OIS discounting from Exhibit D. A funding overlay (+25 bp vs OIS) is sometimes applied to unsecured note cash-flows; the committee will ask whether you used it and why.

Everything else needed for a first-pass Monte Carlo fair value should flow from Exhibits A and D alone.

Regulatory and commercial constraints

Beyond fair value, approval depends on consistency across three lenses:

1. **Internal economics** — fair value at 100% issue and gross margin vs the 1.5% floor.
2. **PRIIPs KID** — prescribed moderate / unfavourable / favourable scenarios and risk indicator must not contradict defensible marketing (Exhibit C, draft).
3. **MiFID II target market** — product governance: advised retail, buy-and-hold compatible horizon, clients who can bear barrier and issuer risk (Exhibit A, target-market summary).

Sales has already circulated a **"6% healthcare income"** headline. Compliance will not object to thematic language if the KID and internal model support it; they **will** object if the moderate scenario implies a return profile that advisers cannot square with the pitch.

Materials still in flux

Not every attachment is final as you walk into the room:

Document	Role	Status
Term sheet (Exhibit A)	Legal mechanics and schedule	Final draft
Market-data pack (Exhibit D)	Spot, curve, vol context, observation DFs	Final
KID excerpt (Exhibit C)	Retail scenario disclosure	Draft — tied to your FV run
Competitor scan (Exhibit E)	Italian headline comparison vs Intesa-style product	Finalising this morning
Press dossier (B1–B2)	Commercial narrative only	Final

The competitor scan matters for **distribution** (can Meridian match Italian headline economics?) but does not replace your own fair-value work. The KID draft cannot be signed until your volatility choice and fair value are on record.

What the committee expects from you

In practical terms, you must be ready to answer four questions without opening a live pricing terminal:

1. What is fair value of the proposed terms at 100% issue, and what gross margin does that imply?
2. If margin is below 1.5%, what **one** revised lever (coupon, barrier, autocall trigger, or issue price) restores it?
3. Does the PRIIPs moderate scenario support or undermine the sales story?
4. Launch, revise, or reject — and can you defend that to French and Italian distributors?

Sections 6 and 7 frame the decision moment and the governance tensions that surround it.